



Investor Presentation

May 2013



EARTHMAX
RADIAL OTR TYRES



AGRIMAX
RADIAL TRACTOR TYRES



MULTIMAX
RADIAL MPT TYRES

Safe Harbor



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Management

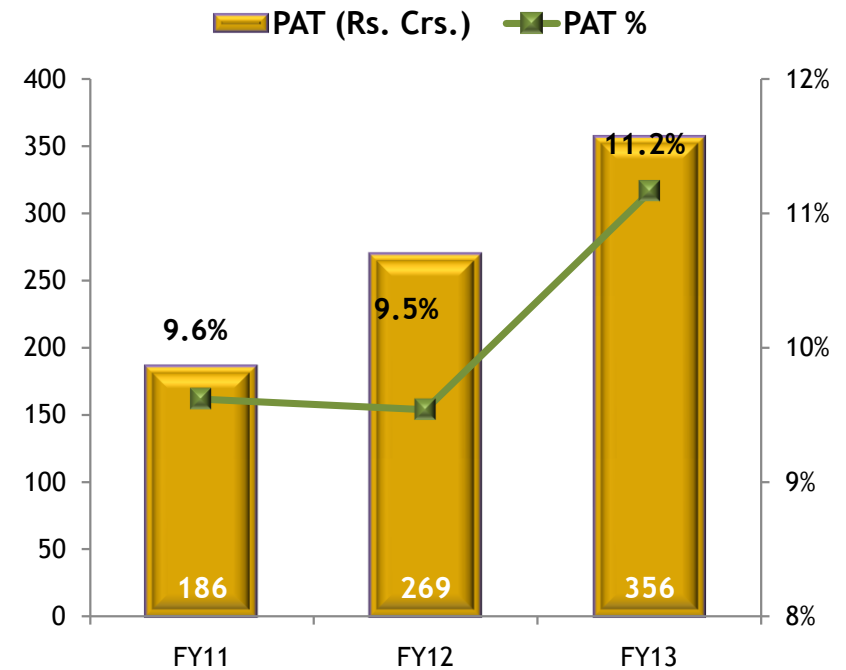
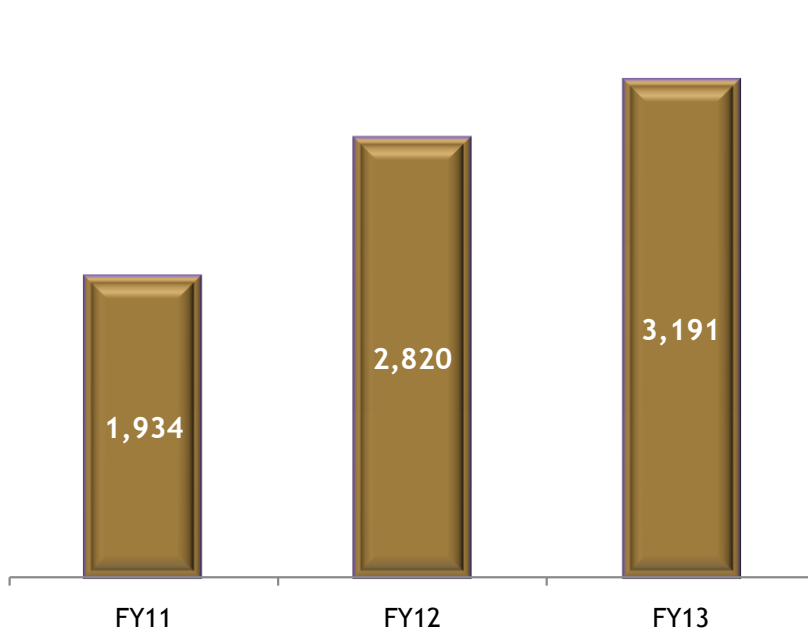


Balkrishna Industries...

- ⦿ India's leading exporter of "Off-Highway Tires"
- ⦿ Widest and comprehensive product portfolio of over 2000 SKUs
- ⦿ 166,000 MTPA current achievable production capacity
 - Achievable capacity to be further enhanced to 276,000 MT by FY 2015
- ⦿ Market presence across the globe
 - Europe, America, Asia Pacific, Middle-East, ANZ etc
- ⦿ Exponential Revenue & Earning growth

Revenue & Profit Growth

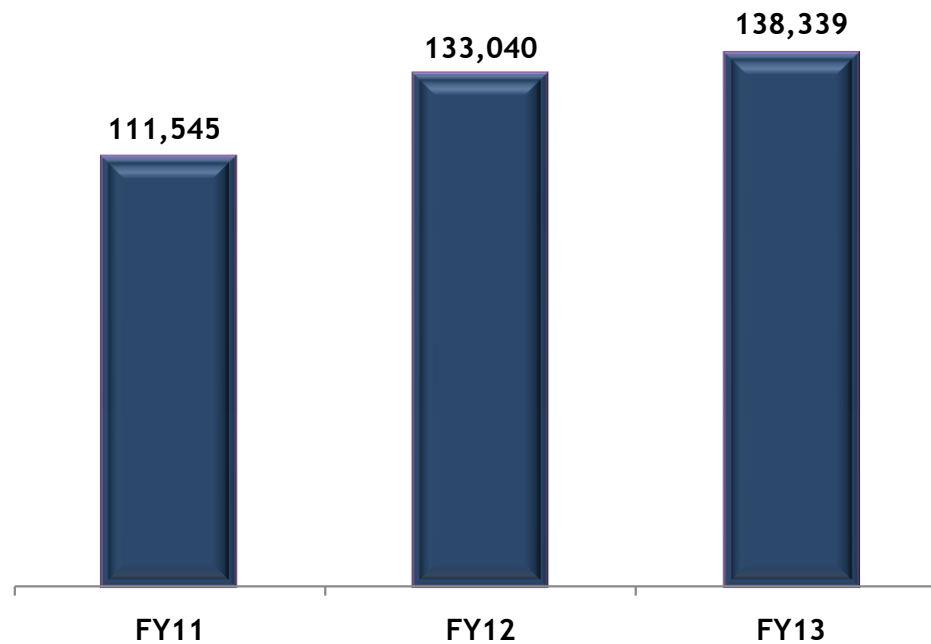
Revenue(Rs. Crs.)



Volume Trend & Guidance



■ Tonnage Sold (MT)



Guidance for FY 14 : 145,000-150,000 MT

Under the able leadership of ...

Mr. Arvind Poddar - Chairman & Managing Director

- Promoter of the Company
- In last 6 years, Company grew exponentially with around 30% CAGR
- Commissioning of new plant at Bhuj, Gujarat with capacity creation of over 70%
- Moving towards USD 1 billion revenue by 2015

The Core Team Executing the Vision

Mr. B K Bansal

Director - Finance

Mr. Rajiv Poddar

Executive Director

Mr. D M Vaidya

Director - Technical

Mr. M S Bajaj

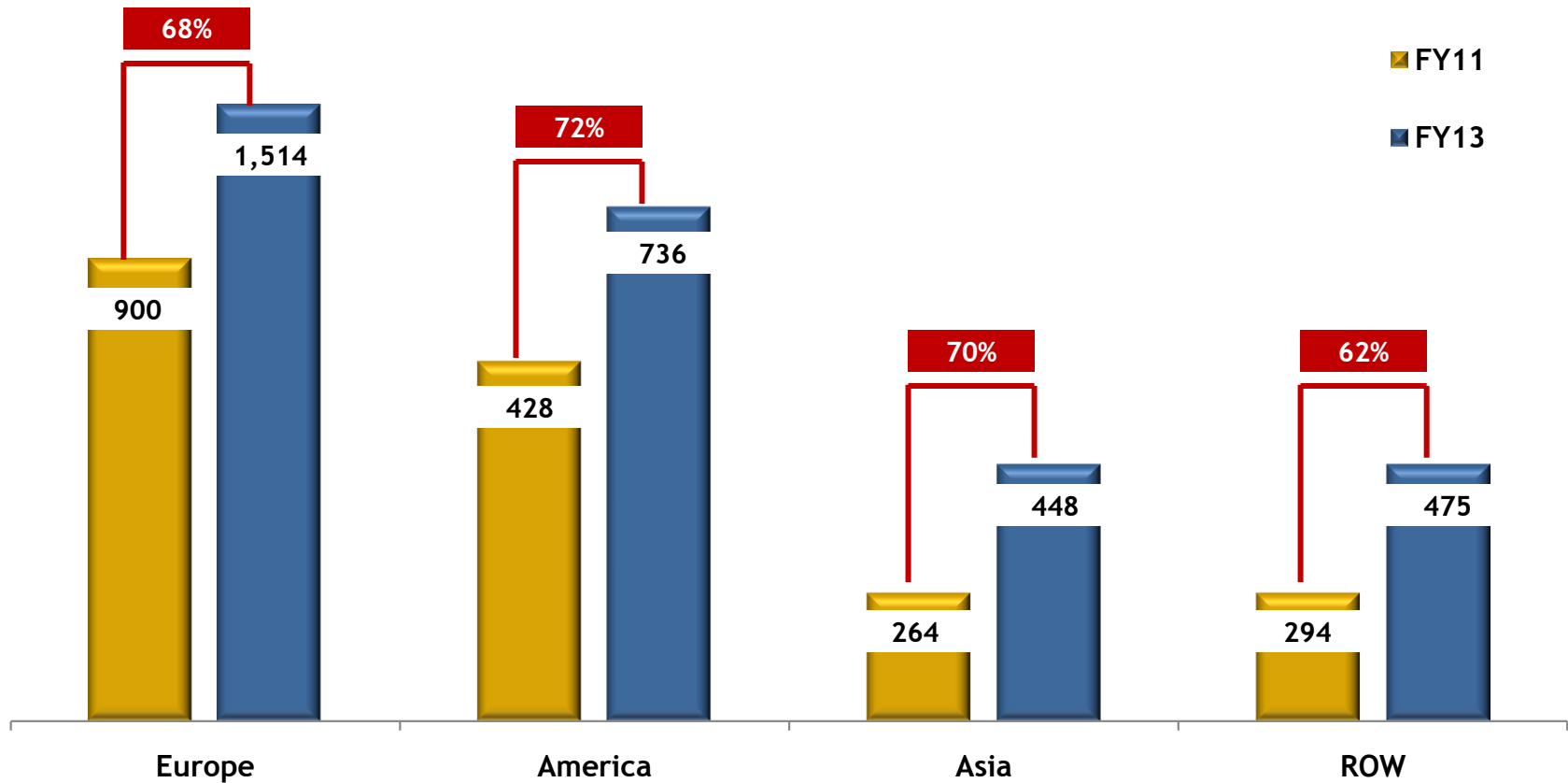
Sr. V P - Commercial

Global Markets - Local Production



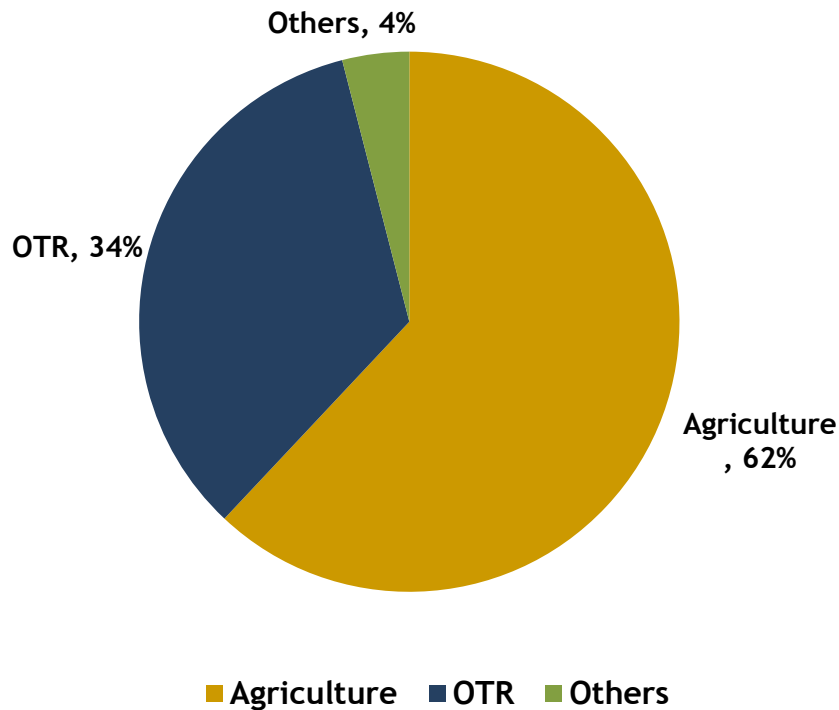
Presence in over 120 countries...

Sales (Rs. Crs)



One-stop shop for off highway tires

Sales Volume (FY 13)



Agriculture

- Tractors, Trailers, Farm equipments
- Tractor Radial Tires under brand “Agrimax”

OTR

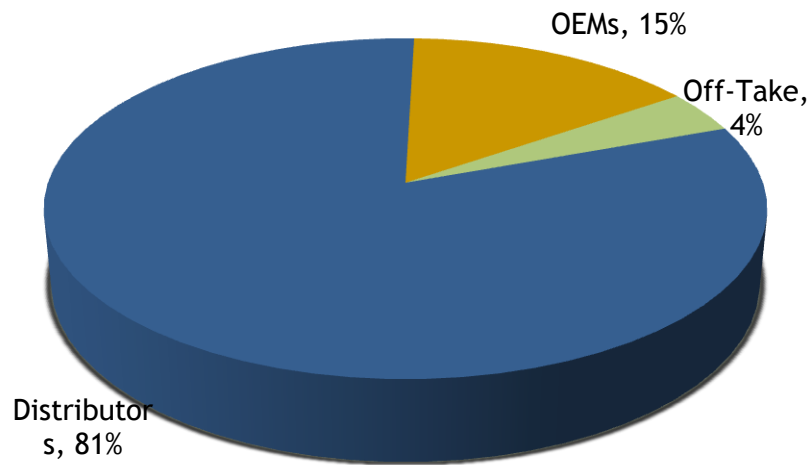
- Industrial, Construction & Earth Mover tires
- Steel Radial OTR tire under brand “Earthmax”

Others

- Sports, Utility vehicles such as Golf-cart, Lawn & Garden tires, All Terrain Vehicles with puncture resistance

Presence in various sales channels

Sales Volume Breakup (FY 13)



Distributors

- Caters to replacement market
- Strong global network
 - Well diversified global distributor network
- Expanding market reach
 - Increasing penetration of existing distributors
 - Adding new distributors

Suppliers to leading OEMs



JOHN DEERE

BOMAG
FAYAT GROUP



Manufacturing Facilities

Existing

Tire manufacturing facility

- Aurangabad, Maharashtra
- Bhiwadi, Rajasthan
- Chopanki, Rajasthan
- Bhuj, Gujarat

Mould Manufactuirng Unit

- Dombivali, Maharashtra

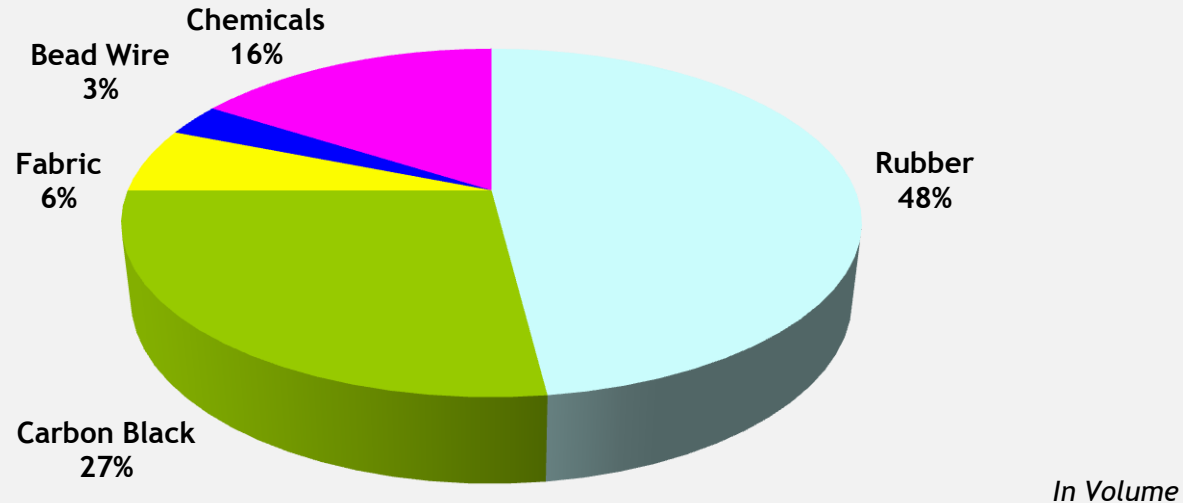
On-going Expansion at Bhuj

- Ramp up to take place in a phased manner as below
 - FY 13 - 10,000 MT
 - FY 14 - 60,000 MT
 - FY 15 - 120,000 MT
- Rs. 1,422 Crs incurred till March 2013
- Rs. 528 Crs Capitalized till March 2013

Post expansion : Achievable capacity 276,000 MT

Key Raw materials

Raw material composition



- **Rubber sourced from**
 - India, Indonesia, Malaysia & Thailand - Major Rubber Producing countries
- **Closer to Rubber producing countries gives edge over global peers**
 - Lower logistic expenses
- **Flexibility in sourcing from India or Import**
 - No impact of Import Duty being major exporter
- **Other materials - Synthetic Rubber, Carbon Black, Fabric & Chemicals**
 - Derivatives of Crude Oil

Key Competitive Advantages



Key Competitive Advantages

Low Operating Cost ... v/s ... Global Peers

- Labor intensive business, however India manufacturing leads to 1/5th labor cost compared to global peers
- Lower selling & distributing expenses due to sales by **distributor network**

Faster Mind to Market Product Roll-out

- Strong R&D Team for product development
- In-house mould facility leads to faster conversion

Flexible Plant Operation

- Maximize utilization of entire basket of 2000 SKUs
- Ensures timely execution of customer's order

Inter- Changeability of production amongst various plants

- Helps production planning to achieve optimum output
- Facilitates container dispatch of varied tires

The Radial Advantage

- Largest manufacturer of full range of Radial Tractor Tires located in a low-cost region
- Globally few manufacturers with concentration in USA & Europe
- Addition of capacity makes it a preferred global partner for radial tires

Growth Strategies



Roadmap for future growth

Sustainable Business Growth



1

Sustain market share

- Increase coverage through distributors

2

Emerging market growth

- High growth potential from emerging markets viz., Russia & CIS

3

New Product Introduction

- All steel radial mining tyres
- Special Puncture proof defense tyres

4

Improvement in Operating Efficiency

- Focus on cost management

5

Increase exposure with OEMs

- Expanding OEM Base

6

Increase in production capability

- Expansion of production capacities



Future Growth Strategies

Financial Highlights



Standalone - Tire Business : Financial Highlights - Q4 FY2013



Rs.Crs	Q4 FY13	Q4FY12	YoY %	Q3 FY13	QoQ%
Sales (MT)	34,061	36,358		30,125	
Net Sales	774	787		698	
Other Operating Income	5	2		6	
Revenue	779	789	-1.2%	705	10.6%
Raw Material	412	495		374	
(Increase) / Decrease in Stock	15	(31)		13	
Employee Expenses	31	20		26	
Other Expenses	165	177		136	
EBITDA	156	127	22.9%	155	0.7%
<i>EBITDA Margin</i>	<i>20.0%</i>	<i>16.1%</i>		<i>22.0%</i>	
Other Income	11	8		1	
Interest & Finance Charges	3	6		4	
Net (Gain)/Loss on Foreign Currency transactions & translation	(3)	(6)		14	
Depreciation	32	22		27	
PBT	134	114		110	
Tax	49	37		36	
PAT	85	76	11.0%	74	13.7%
<i>PAT Margin</i>	<i>10.9%</i>	<i>9.7%</i>		<i>10.6%</i>	

Previous period figures have been regrouped/reclassified as per revised Schedule VI, wherever necessary

Standalone - Tire Business : Financial Highlights - FY2013



Rs.Crs	FY13	FY12	YoY %
Sales (MT)	138,339	133,040	
Net Sales	3,173	2,795	
Other Operating Income	17	25	
Revenue	3,191	2,820	13.1%
Raw Material (Increase) / Decrease in Stock	1,827 (36)	1,759 (48)	
Employee Expenses	107	72	
Other Expenses	628	531	
EBITDA	664	506	31.4%
<i>EBITDA Margin</i>	<i>20.8%</i>	<i>17.9%</i>	
Other Income	4	3	
Interest & Finance Charges	20	18	
Net (Gain)/Loss on Foreign Currency transactions & translation	6	10	
Depreciation	108	83	
PBT	535	398	
Tax	179	130	
PAT	356	269	32.5%
<i>PAT Margin</i>	<i>11.2%</i>	<i>9.5%</i>	

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Standalone - Tire Business : Balance-Sheet FY2013

Rs. Crs.	Mar-13	Mar-12	Rs. Crs.	Mar-13	Mar-12
Shareholder's Fund			Non-current assets		
Share capital	19	19	Fixed assets	2,223	1,278
Reserves & Surplus	1,400	1,061	Long-term loans and advances	279	267
Non-current liabilities			Non-current investments	33	33
Long term borrowings	1,504	914	Current assets		
Deferred Tax Liabilities (net)	100	63	Inventories	432	481
Other non-current liabilities	94	34	Trade receivables	505	480
Current liabilities			Cash and bank balances	266	357
Short term borrowings	559	749	Short-term loans and advances	244	195
Trade Payables	241	200	Other current assets	7	25
Other current liabilities	72	76			
Total Liabilities	3,989	3,116	Total Assets	3,989	3,116

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